

26STCV06969 26STCV06969

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Case Number: 26STCV06969 Hearing Date: June 30, 2026 Dept: 735

Wiles, et al. v. Patel, et al.

Defendants' Motion to Strike Punitive Damages

BACKGROUND

On March 3, 2026, Plaintiffs Adam Wiles and Lewsi US HoldCo, LLC filed a complaint against Defendants Amit Patel and Sklar Kirsh, asserting causes of action for (1) legal malpractice; (2) breach of fiduciary duty; (3) intentional misrepresentation; (4) negligent misrepresentation; (5) constructive fraud; (6) conspiracy; (7) aiding and abetting breach of fiduciary duty; and (8) UCL violations.

DISCUSSION

Defendants move to strike the claims for punitive damages on the ground that Plaintiffs have not alleged Defendants have engaged in malice, oppression, or fraud. Punitive damages are available in noncontract cases where the defendant is guilty of "oppression, fraud, or malice." (Civil Code § 3294(a).) Conclusory allegations are insufficient to support a claim for punitive damages.

However, the language the moving party seeks to strike must be read not in isolation, but in the context of the facts alleged in the entire complaint.

Here, Plaintiffs allege Defendants carried out a multi-year scheme to defraud their clients Plaintiffs Adam Wiles and Lewsi US Holdco, LLC. Plaintiffs allege Defendant Patel knowingly engaged in a scheme to divert \$22.5 million of Plaintiffs' funds (all without Plaintiffs'

knowledge) into a failed and now-defunct real estate investment in which Patel had invested \$600,000 of his own money. Plaintiffs allege Patel concealed this conflict of interest from Plaintiffs. Plaintiffs learned of this misconduct only after they retained different counsel to investigate suspected malfeasance years later. And when confronted, Plaintiffs allege Patel compounded his misconduct by making fraudulent misrepresentations, exploiting the trust inherent in the attorney-client relationship, and fabricating documents to cover his tracks. This is sufficient to allege Defendants engaged in fraudulent conduct and thus sufficient to support a claim for punitive damages.

CONCLUSION

The Court denies Defendants' motion to strike punitive damages.

Defendants shall give notice.